AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

Course Code: B391

Course Title: Management accounting and finance

Mid Term Exam / Version: C

2025-2026 / Fall

3-November-2025

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Number of Exam Pages: (including this cover sheet)	3	Time Allowed:	2 hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinati
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.
10- This exam consists of ***Four Compulsory Questions as follows***:

- **Question 1 [Marks: 25]**
- **Question 2 [Marks: 35]**
- **Question 3 [Marks: 40]**

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Question 1: [Marks: 25]

A- Why organizations need costing systems? [Marks: 10]

B- Suppose a business has recorded the following costs for electricity relative to units of production from the factory:

Months	Electricity cost (£)	Units of production
January	2,500	5,500
February	2,350	5,000
March	2,550	6,000
April	2,450	6,900
May	2,650	7,200
June	2,700	7,500
July	2,600	8,000
August	2,690	8,500
September	2,750	9,000
October	2,950	9,800
November	2,900	9,400
December	2,940	9,200

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- **Required:**

1- Calculate variable cost per unit.

2- Calculate total fixed cost.

3- Calculate the total mixed cost at the level of 21,500 Units.

(15 Marks)

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Question 2: [Marks: 35]

A- Salam LLC sells three products A, B and C. In 2024 the quantity sold, sales revenue, total variable costs products were:

	Products		
	A	**B**	**C**
Quantity	4,000	6,000	10,000
Sales Revenue	500,000	600,000	1,200,000
Variable cost	260,000	360,000	800,000

Fixed costs were ***$550,000***.

Required

1. Compute the breakeven sales (units). Prove your answer. [Marks: 20]

B- Discuss three limitations of break-even analysis and explain how these limitations can affect business decision-making. [Marks: 15, 5 marks for each]

Question 3: [Marks: 40]

A- "Getting risk management right is essential for effective management of organizations". *In light of this statement discuss the framework for risk management.* [Marks: 10]

B- The capital structure of Salim plc comprises £40m in £1 ordinary shares and debt with a market value of £25m. The current market value of the ordinary shares is £2.25 each. Khalid plc pays corporate tax at a rate of 35% and has a beta of 1.8. The risk-free rate is 5% p.a. The equity risk premium is 8.5% p.a. and the credit risk premium is 5% p.a.

- **Required: Calculate the weighted average cost of capital (WACC) for Salim plc. [Marks: 30]**

[END OF EXAM]

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